

State of California

PUBLIC RESOURCES CODE

Section 42067

42067. (a) The department shall prepare one or more initial statewide needs assessments designed to determine the necessary steps and investment needed for covered material, by covered material category, to achieve the requirements of this chapter. Needs assessments, or components thereof, shall be updated every five years or as necessary to ensure the requirements of this chapter are met. An initial needs assessment for specific covered material shall be completed before the completion and approval of any producer responsibility plan that includes that covered material. The department may select an independent third-party contractor to complete the needs assessment. The department or the third-party contractor shall consult with the PRO and local jurisdictions when developing the needs assessment.

(b) The PRO shall reimburse the department for the cost of developing any needs assessment and any update to a needs assessment.

(c) The department may prepare either several needs assessments, with each assessment specific to one or more covered materials subject to this chapter, or may prepare one comprehensive needs assessment that includes all covered material subject to this chapter.

(d) The department shall guide development of a needs assessment, which shall be developed in collaboration with the PRO and a broad diversity of local jurisdictions, recycling service providers, and processors that reflect the different needs and challenges faced by urban, suburban, and rural communities and a variety of different population densities and socioeconomic perspectives and that choose to participate in the development of a needs assessment.

(e) A needs assessment shall comply with all of the following:

(1) Be designed to inform the PRO budget and PRO plan.

(2) Include an evaluation of all of the following with respect to covered materials and covered material categories:

(A) Existing state statutory provisions and funding sources related to market development and financial incentives to help achieve the state's goals related to recycling, composting, reuse, reduction, and recovery.

(B) The current recycling, composting, collection, and hauling system in the state and the expanded access and additional recycling or composting options needed for enhancements to the system.

(C) The existing access to on-premises recycling and composting for multifamily residences, and the need to expand that access.

(D) The processing capacity and infrastructure in the state and regionally and the ability for innovative and advanced technologies such as artificial intelligence and robotics to improve that capacity.

(E) Current market conditions and the need to create viable responsible end markets in the state and regionally.

(F) Consumer education needs for recycling, composting, reuse, and reduction.

(G) Funding needs and actions necessary to achieve the requirements of this chapter, including payments to recyclers, market incentive payments, or other payments necessary to achieve the requirements of this chapter.

(H) Actions and investments necessary to provide sufficient access to collection, recycling, composting, processing, and transportation to viable responsible end markets.

(I) An evaluation of the availability or lack of availability of markets for recycled covered material, the need to incentivize recycled or composted material market development, and the associated investments and actions needed to ensure that the covered materials are recycled or composted and have viable and sufficient responsible end markets to meet the requirements of Section 42050.

(J) Factors contributing to contamination and actions and investments needed to avoid contamination and improve recycled and composted material in order to ensure the material meets quality requirements for remanufacturing.

(K) Availability of responsible end markets and mechanisms to identify and expand responsible end markets. The evaluation shall include identification of measures to avoid and minimize environmental and public health impacts on communities where recycling occurs.

(3) Include an evaluation of all of the following with respect to covered material:

(A) The needs associated with shifting packaging or food service ware from a covered material category that is unlikely to develop sustained viable responsible end markets to a covered material category that either has a viable responsible end market or is likely to develop a sustained viable responsible end market.

(B) Actions and investments necessary to improve covered material design to improve recyclability and compostability.

(C) Funding needed to implement the source reduction requirements established in Section 42057, including, but not limited to, investments needed to develop reuse and refill infrastructure and to provide consumers with convenient access to that infrastructure to grow and market the use of reusable and refillable packaging and food service ware.

(D) An evaluation of integrating innovative and advanced technologies throughout a MRF that utilize artificial intelligence to improve data collection in order to identify, categorize, and track the disposition of covered materials throughout the recycling process.

(E) An evaluation of actions and investments that would be effective in achieving source reduction requirements.

(4) The needs assessment shall not propose investing in activities contrary to the intent described in Section 40004 or in violation of an agreement entered into pursuant

to Section 40059 and shall include a mechanism to disburse funds for identified activities.

(5) The needs assessment may include, but shall not be limited to, elements that will accomplish all of the following:

(A) Expanding access to or improvement of curbside collection services wherever feasible.

(B) Expanding access to dropoff recycling services or other mechanisms where curbside collection services are not feasible, or as necessary in order to supplement curbside collection services to achieve the requirements of this chapter.

(C) Expanding access to collection services in public spaces.

(D) Providing or facilitating deployment of innovative enhanced collection, composting, and recycling systems and innovative recycling systems within a recycling center or MRF that utilizes advanced technology, such as artificial intelligence and robotics, to improve the identification and sorting of covered materials, where feasible.

(E) An evaluation of actions and investments that would be effective in achieving source reduction requirements.

(F) Creation of on-premises access to recycling or composting services for multifamily residences.

(G) Funding, providing, or facilitating the efficient transport of materials from remote or rural areas to centralized sorting facilities, brokers, or viable responsible end markets.

(H) Enhancing existing materials recycling or composting infrastructure by developing a quality incentive payment, grants, and other mechanisms sufficient to cover the cost of separating, processing, baling, recycling, composting, remanufacturing, and transporting desired materials that meet viable responsible end market quality specifications, or for reducing the rate of inbound contamination to composting facilities.

(I) Infrastructure or other mechanisms needed to implement a source reduction plan, including, but not limited to, investments in reuse, refill, and composting infrastructure.

(J) Infrastructure or other activities needed to achieve recycling rates for all covered material under the plan and ensure covered material is recyclable or compostable.

(f) (1) The initial needs assessment, and any updates, shall be submitted to the advisory board.

(2) Development of a needs assessment by the department pursuant to this section is exempt from Chapter 3.5 (commencing with Section 11340) of Part 1 of Division 3 of Title 2 of the Government Code.

(g) The initial needs assessment, and any updates, shall be developed through a public process including at least one public meeting at which the department provides the PRO, the advisory board, and any interested members of the public the opportunity for input.

(Amended by Stats. 2023, Ch. 848, Sec. 11. (AB 1526) Effective January 1, 2024.)